



Fighting The Dragon

China's subsidies and export strategy have accelerated its dominance in the EV space.

Amid fears of EV 'dumping', can India withstand the Chinese onslaught?

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China accounts for more than 80% production of lithium-ion cells, which are 40% of overall EV costs

FROM ALL ACCOUNTS, 2025 should be the year of reckoning for electric vehicle (EV) makers in India, for long upstaged by their rivals in China, the world's undisputed manufacturing powerhouse.

By February 2025, Indian EV makers had as many as 49 models on offer, the most ever, and were revving to enter the fast lane as China's BYD (Build Your Dreams), the world's second largest EV maker, and Vietnam's VinFast size up the market and its potential for growth after gaining a foothold.

Maruti Suzuki India Ltd. has launched the e-Vitara and Hyundai Motor India Ltd unveiled an electric version of Creta, respectively.

The country's two largest automobile makers will be competing with each other and simultaneously taking on Mahindra and Mahindra Ltd's BE 6 and XEV 9e, JSW MG Motor India Pvt Ltd's ZS EV and Windsor EV and Tata Motors Ltd's Harrier EV plus Nexon EV and Punch EV.

To be sure, India lags far behind China when it comes to EV manufacturing. China's unquestioned prowess in technology and product innovation is backed by government subsidies and a well-articulated export strategy that have enabled it to steal a march over such automobile giants as Germany and Japan in their own backyards, and put in the shade even early EV adaptors like Norway and the United States.

According to a report by France-based International Energy Agency, China accounted for 80% of EV sales growth, with sales jumping to four million in the first half of Calendar Year 2024 from three million in the same period of the previous year.

India's figures pale in comparison; total EV sales reached 1.9 million in CY24, making up just 6-7% of total domestic sales. Of this, electric car sales made up 99,453 units, electric two-wheelers 1.4 million, and three-wheelers 691,000 units, according to Vahan, a unit of the Ministry of Heavy Industry.